www.tntextbooks.in

Illustration 14

Chandran is a sole trader dealing in sports items. From the following transactions, pass journal entries for the month of March, 2018.

March		`
1	Commenced business with cash	4,00,000
2	Cash deposited into bank	3,00,000
3	Purchased goods from Ravi and payment made through net banking	90,000
4	Sales made to Kumar, who deposited the money through CDM	10,000
5	Sales made to Vivek, who made the payment by debit card	60,000
6	Sold goods to Keerthana, who made the payment through credit card	50,000
7	Dividend directly received by bank	2,000
8	Money withdrawn from ATM	3,000
9	Salaries paid through ECS	6,000
10	Cricket bats donated to a trust	10,000

Solution

In the books of Chandran

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2018 March 1	Cash A/c Dr. To Chandran's capital A/c (Capital contributed by Chandran)		4,00,000	4,00,000
2	Bank A/c Dr. To Cash A/c (Cash deposited into bank)		3,00,000	3,00,000
3	Purchases A/c Dr. To Bank A/c (Goods purchased and payment made by net banking)		90,000	90,000
4	Bank A/c Dr. To Sales A/c (Sales made and money received through CDM)		10,000	10,000